

VEDANTA OLD STRUCTURE



 ALUMINUM Largest capacity with integrated coal, bauxite mines and an alumina refinery <table><tr><td>Lanjigarh refinery</td><td>Jharsuguda smelter</td></tr><tr><td colspan="2">Balco (51%)</td></tr></table>	Lanjigarh refinery	Jharsuguda smelter	Balco (51%)		 OIL AND GAS India's largest private sector crude oil producer <table><tr><td>Cairn Oil & Gas</td><td>Avanstrate Glass (51.6%)</td></tr></table>	Cairn Oil & Gas	Avanstrate Glass (51.6%)	 ZINC & SILVER One of the largest fully integrated zinc-lead players globally <table><tr><td>Hindustan Zinc (64.9%)</td><td>Zinc International (100%)</td></tr></table>	Hindustan Zinc (64.9%)	Zinc International (100%)	 POWER One of the largest private sector power generators <table><tr><td>TSPL (100%)</td></tr></table>	TSPL (100%)
Lanjigarh refinery	Jharsuguda smelter											
Balco (51%)												
Cairn Oil & Gas	Avanstrate Glass (51.6%)											
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 STEEL & FERROUS One of the largest private sector exporters of iron ore <table><tr><td>Sesa Iron Ore</td><td>Sesa Coke</td></tr><tr><td>ESL Steel (95.5%)</td><td>WCL</td></tr></table>	Sesa Iron Ore	Sesa Coke	ESL Steel (95.5%)	WCL	 COPPER One of the largest Indian private sector exporters of iron ore <table><tr><td>Sterlite Copper</td></tr></table>	Sterlite Copper	 ELECTRONICS BUSINESS Aim to be the first Indian manufacturer of semiconductors <table><tr><td>Vedanta Semicon</td></tr></table>	Vedanta Semicon	 NICOMET (NICKEL) Capacity of 7,000 tonnes			
Sesa Iron Ore	Sesa Coke											
ESL Steel (95.5%)	WCL											
Sterlite Copper												
Vedanta Semicon												

*VEDANTA RESOURCES HELD 62% STAKE IN VEDANTA LTD, THE INDIAN LISTED ENTITY

SOURCE INVESTOR PRESENTATION

before interest, taxes, depreciation and amortisation) ratio (the ability to pay off debt through its earnings) is at 0.95x and below 1x for the first time in years. It was 1.61x in FY24 before dropping to 1.2x in FY25. "The pressure valve has clearly been released. The demerger's role in the debt story is now forward-looking rather than being crisis-driven," he says.

Now, five independent listed entities give them more options to monetise stakes, as opposed to being part of a larger conglomerate. "Selling 5% of Vedanta Aluminium or Hindustan Zinc is far easier than selling 5% of a diversified Vedanta," says Arora. To him, holding company debt is a structural overhang, and the demerger is the best way to retire it.

For Vedanta Resources, dividends from the five companies are critical for debt servicing. In short, the companies doing well will help reduce, even eliminate, the debt.



RAKESH ARORA
MANAGING
PARTNER,
GO INDIA ADVISORS

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